



Persistent Systems reported extremely solid numbers with a beat on our estimates across the board on the back of a strong Q3 performance

- \$ revenue: \$217.32 Mn, +9.2% qoq / +42.2% yoy and 1.2% above our estimates
- Services (91.1% of revenue) grew at 14.6% qoq / +52.3% yoy while IP led business (8.9% of revenue) down -26.6% qoq / -15% yoy
- INR revenue at 16,378 Mn, +9.8% qoq / +47.1% yoy and +1.8% above our estimates
- EBITDA: INR 2,811.7 Mn, +12% qoq / +49.3% yoy and +5% vs our estimates
- EBITDA margins: 17.2%, vs 16.8% / 16.9% in Q3FY22 / Q4FY21 respectively and 60 bps above our estimates
- EBIT: INR 2,300.4 Mn, +10.4% qoq / +57.1% yoy and 5.4% above our estimates
- EBIT margins: 14%, vs 14% / 13.2% in Q3FY22 / Q4FY21 respectively
- PAT: INR 2,009.9 Mn, +13.9% qoq / +45.9% yoy and 5.2% above our estimates
- EPS at INR 26.3 in Q4FY22 vs 23.1 / 18 in Q3FY22 / Q4FY21 respectively and versus our estimate of INR 25
- New Deal wins TCV were also encouraging and highest ever at \$195.1 Mn vs \$157.6 Mn Q3FY22
- Total TCV now stands at \$361 Mn in Q4FY22 versus \$334.3 Mn in Q3FY22
- Declared a final dividend of INR 11 per share

Segment-wise Performance

- **BFSI** (32.4% of services revenue) reported 9.8% qoq / +53.1% yoy
- **Healthcare & Lifesciences** (20.7% of revenue) reported +9.2% qoq / +52.5% yoy
- **Tech Companies** (46.9% of revenue) reported +8.7% qoq / +31.8% yoy

Financial Summary

Y/E Mar (Rs mn)	FY 20	FY 21E	FY 22E	FY 23E	FY 24E
Net sales	35,658	41,879	57,107	76,074	85,223
EBITDA	4,923	6,830	9,582	11,833	14,026
Adjusted net profit	3,403	4,507	6,904	8,237	10,114
Free cash flow	1,630	5,670	5,670	3,032	9,556
EPS (Rs)	44.5	59.0	90.3	107.8	132.3
growth (%)	1%	32%	53%	19%	23%
P/E (x)	96.8	73.1	47.7	40.0	32.6
P/B (x)	96.8	73.1	47.7	40.0	32.6
EV/EBITDA (x)	66.1	46.9	33.1	27.3	22.6
ROCE (%)	10.2	14.1	18.9	18.4	18.7
RoE (%)	14.4	17.4	22.8	23.2	24.3
Dividend yield (%)	0.3	0.3	0.5	0.6	0.7

Source: Company

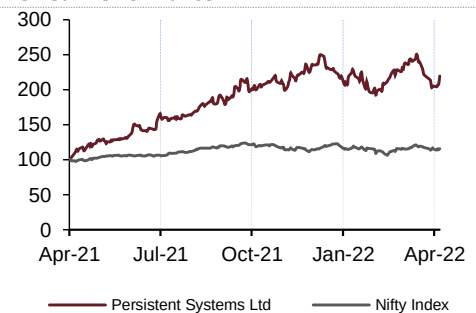
Rating	TP (Rs)	Up/Dn (%)
	5,292	23

Market data

Current price	Rs	4,309
Market Cap (Rs.Bn)	(Rs Bn)	329
Market Cap (US\$ Mn)	(US\$ Mn)	4,303
Face Value	Rs	10
52 Weeks High/Low	Rs	4,987 / 1,925
Average Daily Volume	('000)	218
BSE Code		533179
Bloomberg		PSYS.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Mar-22	Dec-21
Promoters	31.26	31.26
Public	65.60	65.51
Total	100	100

Source: Bloomberg

Mayank Babla

+91 22 67141412

mayank.babala@dalal-broacha.com

Concall Highlights

- Out of 9.1% qoq growth - 6.8% Organic Growth and 2.3% inorganic contribution (SCI and Shree Partners saw a full quarter of consolidation while Data Glove saw 1 month of consolidation)
- Offshore Linear Growth of 11.5% qoq: Billing Rate: +1.5% qoq | Volumes: +9.8% qoq
- Onsite Linear Revenue growth of 20.1%: Billing Rate: +2.1% qoq | Volumes: +17.6%
- *Margin Walk*: +30 bps benefit due to currency and additional benefit from credit of old receivables whereas acquisition related costs impacted margins by 30 bps
- IP revenues saw a drop during the quarter due to \$ 4 Mn of restructuring of product business to T&M Services
- Headcount: addition of 700 employees from DataGlove. 25% of the organic headcount addition were freshers
- Attrition will remain elevated in the near term and will fall gradually over FY23
- Lower ETR in the current quarter due to lower tax in foreign jurisdictions. Normal ETR to be in the range of 25.5-26.5%
- Current TCV does not include Order intake from acquisitions and therefore is comparable to previous periods
- Deal sizes and capabilities should improve due to recent acquisitions
- Expect to close the acquisition of MediaAgility in the next 1-2 weeks
- Added several leaders at the senior level

Outlook:

- Industry-leading growth to continue in FY23e
- Current margins are defendable as per management. Headwinds include higher wage hikes due to inflation and higher amortization (impact of 70 bps in FY23e and up by 50 bps yoy). Tailwinds include fresher hiring and scale from revenue growth
- IP revenue is expected to grow at 10-15% in FY23e

Quarterly Deviation Sheet

Persistent Q2 FY18 Result Estimates							
YE March (Rs. Mn)	Q4 FY22	Q3 FY22	Q-o-Q change %	Q4 FY21	Y-o-Y change %	Q4 FY22 estimates	Deviation %
Net Sales (US\$ Mn)	217.3	199.1	9.2%	153	42.2%	214.7	1.2%
Net Sales (INR Mn)	16,379	14,917	9.8%	11,134	47.1%	16,083	1.8%
Less:							
Employees Remuneration & Benefits	12,213	11,135	9.7%	8,397	45.4%	11,797	3.5%
SG&A Expenses	1,354	1,272	6.5%	853	58.7%	1,608	(15.8%)
Total Operating Expenditure	13,567	12,406	9.4%	9,250	46.7%	13,406	1.2%
EBITDA	2,812	2,511	12.0%	1,883	49.3%	2,677	5.0%
EBIT	2,300	2,083	10.4%	1,464	57.1%	2,183	5.4%
Less: Depreciation	511	428	19.5%	419	22.0%	494	3.6%
Less: Interest	49	26	93.3%	16	211.4%	26	
Add: Other income	421	307	37.2%	400	5.1%	402	4.6%
Profit Before Tax	2,672	2,364	13.0%	1,849	44.5%	2,560	4.4%
Adjusted Profit s	2,672	2,364	13.0%	1,849	44.5%	2,560	
Less: Total Tax	662	600	10.3%	471	40.5%	650	
PAT	2,010	1,764	13.9%	1,378	45.9%	1,910	5.2%
Adjusted PAT	2,010	1,764	13.9%	1,378	45.9%	1,910	5.2%
Reported Diluted EPS (Rs.)	26.3	23.1	13.9%	18.0	45.9%	25.0	
Adjusted Diluted EPS (Rs.)	26.3	23.1	13.9%	18	45.9%	25.0	5.2%
No of Shared Diluted (mn)	76	76		76		76	
Margin Analysis %			Change in bps	Change in bps		Deviation in bps	
EBIT margin	14.0%	14.0%	8	13.2%	89	13.6%	47
EBITDA Margin	17.2%	16.8%	34	16.9%	25	16.6%	52
NPM	12.3%	11.8%	45	12.4%	(10)	11.9%	40
Adjusted NPM	12.3%	11.8%	45	12.4%	(10)	11.9%	40
Effective Tax Rate %	24.8%	25.4%	(61)	25.5%	(71)	25.4%	(61)
Cost Analysis %			Change in bps	Change in bps		Deviation in bps	
Employee Cost/Net Sales	74.6%	74.6%	(8)	75.4%	(85)	73.4%	121
SG&A/Net sales	8.3%	8.5%	(26)	7.7%	60	10.0%	(173)

Source: Company, D&B Research

Valuation & Outlook

Persistent Systems is currently trading at 40.6x / 32.6x FY23e/FY24e EPS respectively.

Persistent Systems has consistently delivered growth in the leader's quadrant in the Indian IT pack with stable margins over the last 4 quarters. New deal wins are at an all time high and extremely encouraging over the last several quarters. Attrition has been controlled albeit at an elevated rate. We expect the company to continue its strong execution rate coupled with healthy momentum in deal wins over the next 2 years.

Taking the above factors into consideration, we maintain Persistent Systems as our top pick in the Indian IT space. We maintain a BUY rating and our target multiple of 40x FY24e EPS of INR 134.3 to arrive at TP of INR 5,292.

Financials

Profit & Loss A/c					
YE March (Rs. mn)	FY 20	FY 21	FY 22E	FY 23E	FY 24E
Net Sales	35,658	41,879	57,107	76,074	85,223
Growth %	5.9%	17.4%	36.4%	33.2%	12.0%
Total Revenue	35,658	41,879	57,107	76,074	85,223
Employee Cost & Related Expen	25,475	30,722	42,567	57,194	62,085
Miscellaneous Expenses	5,260	4,327	4,958	7,047	9,112
Total Operating Expenditure	30,735	35,049	47,526	64,241	71,197
EBIDTA	4,923	6,830	9,582	11,833	14,026
Growth %	-10.6%	38.8%	40.3%	23.5%	18.5%
Less: Depreciation	1,660	1,756	1,660	2,182	2,406
EBIT	3,263	5,075	7,922	9,651	11,620
Growth %	-17.1%	55.5%	56.1%	21.8%	20.4%
Interest Paid	63	58	118	276	276
Non-operating Income	1,324	1,078	1,440	1,737	1,924
Profit Before tax	4,523	6,094	9,243	11,112	13,267
Tax	1,121	1,588	2,339	2,875	3,154
Net Profit	3,403	4,507	6,904	8,237	10,114
Adjusted Profit	3,403	4,507	6,904	8,237	10,114
Reported Diluted EPS Rs	44.5	59.0	90.3	107.8	132.3
Growth %	1.3%	32.4%	53.2%	19.3%	22.8%
Adjusted Diluted EPS Rs	44.5	59.0	90.3	107.8	132.3
Growth %	1.3%	32.4%	53.2%	19.3%	22.8%

Key Ratios					
YE March (Rs. mn)	FY 20	FY 21	FY 22E	FY 23E	FY 24E
EBIDTA (%)	13.8%	16.3%	16.8%	15.6%	16.5%
NPM (%)	9.5%	10.8%	12.1%	10.8%	11.9%
RoE (%)	14.4%	17.4%	22.8%	23.2%	24.3%
RoCE (%)	10.2%	14.1%	18.9%	18.4%	18.7%
Tax Rate %	24.8%	26.1%	25.3%	25.9%	23.8%
Book Value Per share	312.2	365.8	427.1	500.1	589.8

Balance Sheet (Consolidated)					
YE March(Rs. mn)	FY 20	FY 21	FY 22E	FY 23E	FY 24E
Liabilities					
Equity Capital	764	764	764	764	764
Reserves & Surplus	23,093	27,192	31,873	37,458	44,315
Equity	23,858	27,957	32,637	38,222	45,079
Net Worth	23,858	27,957	32,637	38,222	45,079
Total Loans	407	760	760	5,260	5,260
Capital Employed	24,448	28,958	33,753	43,919	50,818
Assets					
Gross Block	7,370	7,885	8,885	15,814	16,814
Less: Depreciation	5,145	5,483	7,143	9,326	11,732
Net Block	2,225	2,401	1,741	6,489	5,083
Investments	5,311	4,089	4,358	4,670	4,872
Intangible Assets	1,661	1,315	1,794	6,873	6,873
Current Assets					
Sundry Debtors	5,922	5,709	7,823	10,421	11,674
Current Investments	5,165	6,375	7,424	9,129	10,227
Cash and Bank Balance	4,572	9,809	13,140	11,878	18,054
Total Current Assets	20,032	26,838	34,697	39,073	48,520
Less: Current Liabilities & Provisions					
Sundry Creditors	2,247	2,733	3,776	5,104	5,657
Total Current Liabilities & Pr	6,474	7,697	11,048	15,292	16,889
Capital Applied	24,448	28,958	33,753	43,919	50,818

Cash Flows (Consolidated)					
YE March (Rs. Mn)	FY 20	FY 21	FY 22E	FY 23E	FY 24E
PAT	3,403	4,507	6,904	8,237	10,114
Add: Depreciation	1,660	1,756	1,660	2,182	2,406
Add: Interest Paid	63	58	118	276	276
Operating Profit before WC (	3,802	5,242	7,243	8,958	10,872
(Inc)/Dec in Current Assets	(1,250)	(359)	(3,479)	(3,933)	(2,173)
Inc/(Dec) in Current Liabilities	1,629	1,223	3,351	4,244	1,596
Net Cash Generated From Op	4,181	6,107	7,114	9,269	10,296
Cash Flow from Investing Activities					
(Inc)/Dec in Fixed Assets	20	(515)	(1,000)	(6,930)	(1,000)
Add: Non Operating Income Inc	1,324	1,078	1,440	1,737	1,924
Cash Flow from Investing Ac	406	2,098	(730)	(11,109)	468
Cash Flow from Financing Activities					
Dividend Paid	(917)	(1,577)	(1,933)	(2,306)	(2,832)
Net Cash Flow from Financin	(4,303)	(1,472)	(2,227)	1,653	(3,490)
Net Inc/Dec in cash equivale	284	6,733	4,157	(186)	7,274
Opening Balance	6,724	4,572	9,809	13,140	11,878
Closing Cash Balance	7,008	11,305	13,966	12,953	19,152

Free Cash Flow Analysis					
	FY 20	FY 21E	FY 22E	FY 23E	FY 23E
EBITDA	4,923	6,830	9,582	11,833	14,026
Add: Depreciation Tax Shiel	411	457	420	565	572
Working Capital Changes	-2,604	485	-993	440	-888
Less: Inc in FC Investment	-20	515	1,000	6,930	1,000
Taxes Paid	1,121	1,588	2,339	2,875	3,154
Total Free Cash Flows	1,630	5,670	5,670	3,032	9,556

Source: Dalal & Broacha Research, Company

Disclaimer

Dalal & Broacha Stock Broking Pvt Ltd, hereinafter referred to as D&B (CINU67120MH1997PTC111186) was established in 1997 and is an integrated financial services player offering an extensive range of financial solutions and services to a wide spectrum of customers with varied needs ranging from equities to mutual funds to depository services.

D&B is a corporate trading member of Bombay Stock Exchange Limited (BSE), National Stock Exchange of India Limited (NSE). D&B along with its affiliates offers the most comprehensive avenues for investments and is engaged in the securities businesses including stock broking (Institutional and retail), depository participant, portfolio management and services rendered in connection with distribution of primary market issues and financial products like mutual funds, fixed deposits. Details of associates are available on our website i.e. www.dalal-broacha.com

D&B is registered as Research Analyst with SEBI bearing registration Number INH000001246 as per SEBI (Research Analysts) Regulations, 2014.

D&B hereby declares that it has not defaulted with any stock exchange nor its activities were suspended by any stock exchange with whom it is registered in any time in the past. It has not been debarred from doing business by any Stock Exchange / SEBI or any other authorities; nor has its certificate of registration been cancelled by SEBI at any point of time. SEBI and Stock Exchanges have conducted the routine inspection and based on their observations have issued advice letters or levied minor penalty on D&B for certain operational deviations in routine course of business.

D&B offers research services to clients as well as prospects. The analyst for this report certifies that all of the views expressed in this report accurately reflect his or her personal views about the subject company or companies and its or their securities, and no part of his or her compensation was, is or will be, directly or indirectly related to specific recommendations or views expressed in this report.

Other disclosures by D&B (Research Entity) and its Research Analyst under SEBI (Research Analyst) Regulations, 2014 with reference to the subject company(s) covered in this report:-

D&B or its associates may have financial interest in the subject company.

D&B or its associates do not have any material conflict of interest in the subject company.

The Research Analyst or Research Entity (D&B) has not been engaged in market making activity for the subject company.

D&B or its associates may have actual/beneficial ownership of 1% or more securities of the subject company at the end of the month immediately preceding the date of publication of Research Report.

Disclosures in respect of Research Analyst:

Whether Research Analyst or his/her relatives have actual/beneficial ownership of 1% or more securities of the subject company at the end of the month immediately preceding the date of publication of Research Report:	No
Whether the Research Analyst or his/her relative's financial interest in the subject company.	No
Whether the research Analyst has served as officer, director or employee of the subject company	No

Whether the Research Analyst has received any compensation from the subject company in the past twelve months	No
Whether the Research Analyst has managed or co-managed public offering of securities for the subject company in the past twelve months	No
Whether the Research Analyst has received any compensation for investment banking or merchant banking or brokerage services from the subject company in the past twelve months	No
Whether the Research Analyst has received any compensation for products or services other than investment banking or merchant banking or brokerage services from the subject company in the past twelve months	No
Whether the Research Analyst has received any compensation or other benefits from the subject company or third party in connection with the research report	No

D&B and/or its affiliates may seek investment banking or other business from the company or companies that are the subject of this material. Our salespeople, traders, and other professionals may provide oral or written market commentary or trading strategies to our clients that reflect opinions that are contrary to the opinions expressed herein, and our proprietary trading and investing businesses may make investment decisions that may be inconsistent with the recommendations expressed herein.

In reviewing these materials, you should be aware that any or all of the foregoing, among other things, may give rise to real or potential conflicts of interest including but not limited to those stated herein. Additionally, other important information regarding our relationships with the company or companies that are the subject of this material is provided herein. This report is not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or which would subject D&B or its group companies to any registration or licensing requirement within such jurisdiction. Specifically, this document does not constitute an offer to or solicitation to any U.S. person for the purchase or sale of any financial instrument or as an official confirmation of any transaction to any U.S. person. Unless otherwise stated, this message should not be construed as official confirmation of any transaction. No part of this document may be distributed in Canada or used by private customers in United Kingdom. All material presented in this report, unless specifically indicated otherwise, is under copyright to D&B. None of the material, nor its content, nor any

copy of it, may be altered in any way, transmitted to, copied or distributed to any other party, without the prior express written permission of D&B. All trademarks, service marks and logos used in this report are trademarks or registered trademarks of D&B or its Group Companies. The information contained herein is not intended for publication or distribution or circulation in any manner whatsoever and any unauthorized reading, dissemination, distribution or copying of this communication is prohibited unless otherwise expressly authorized. Please ensure that you have read "Risk Disclosure Document for Capital Market and Derivatives Segments" as prescribed by Securities and Exchange Board of India before investing in Indian Securities Market. In so far as this report includes current or historic information, it is believed to be reliable, although its accuracy and completeness cannot be guaranteed.

Name	Designation	E-mail	Phone	Sector
Mr Kunal Bhatia	Head of Research	kunal.bhatia@dalal-broacha.com	022-67141442	Retail FMCG Logistics
Mr Mayank Babla	Sr. Analyst	mayank.babala@dalal-broacha.com	022-67141412	IT Telecom Media
Mr. Avinash Tanawade	Sr. Analyst	avinash.tanawade@dalal-broacha.com	022-67141449	BFSI
Mr, Bhavya Gandhi	Associate	bhavya.gandhi@dalal-broacha.com	022-67141444	Midcaps
Mr. Miraj Shah	Associate	miraj.shah@dalal-broacha.com	022-67141489	FMCG Retail
Mr. Harsh Shah	Associate	harsh.shah@dalal-broacha.com	022-67141496	Midcaps

Address: - 508, Maker Chambers V, 221 Nariman Point, Mumbai 400 021.

Tel: 91-22- 2282 2992 | : equity.research@dalal-broacha.com